

5
**Creating Long-Term
Loyalty Relationships**



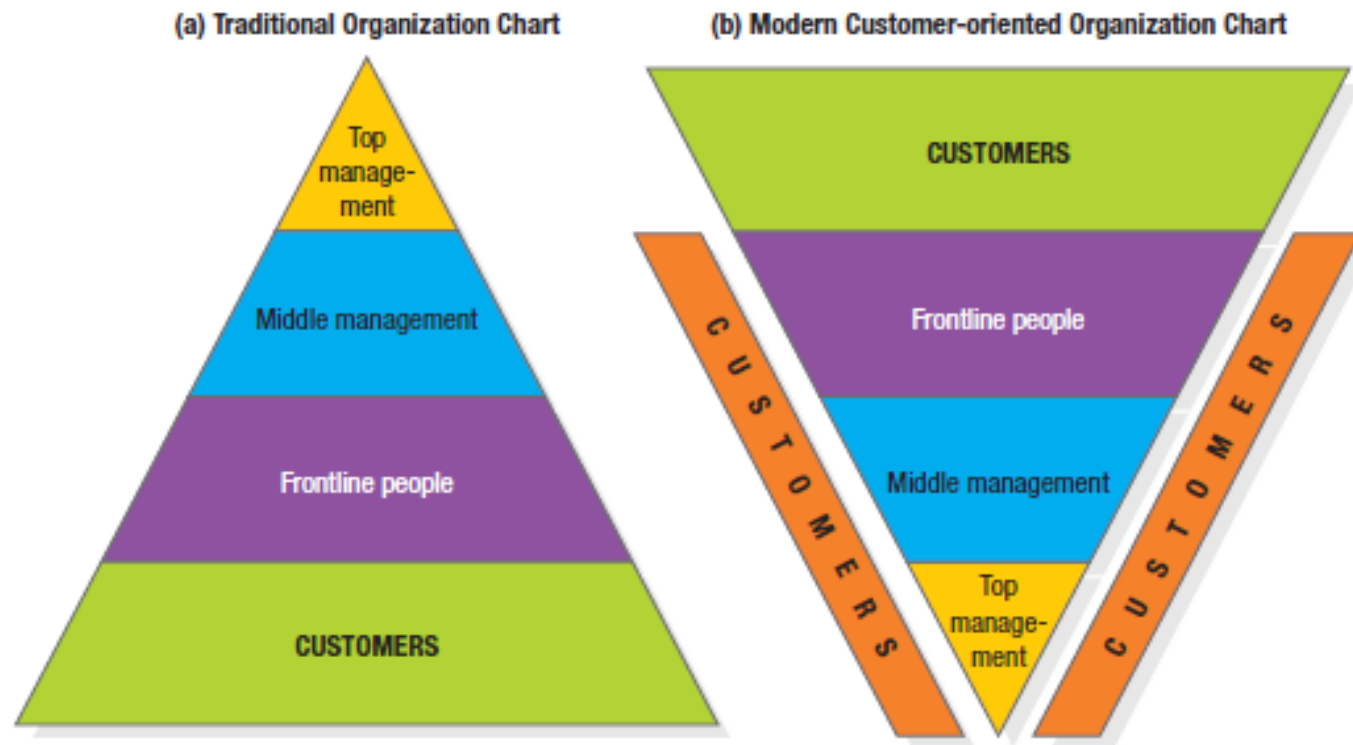
Chapter Questions

- What are customer value, satisfaction, and loyalty, and how can companies deliver them?
- What is the lifetime value of customers and how can marketers maximize it?
- How can companies attract and retain customers and cultivate strong customer relationships?
- What are the pros and cons of database marketing?

Harrah's Builds Relationships



Figure 5.1 Customer-Orientations



Dell Reestablished Its Commitment to Value

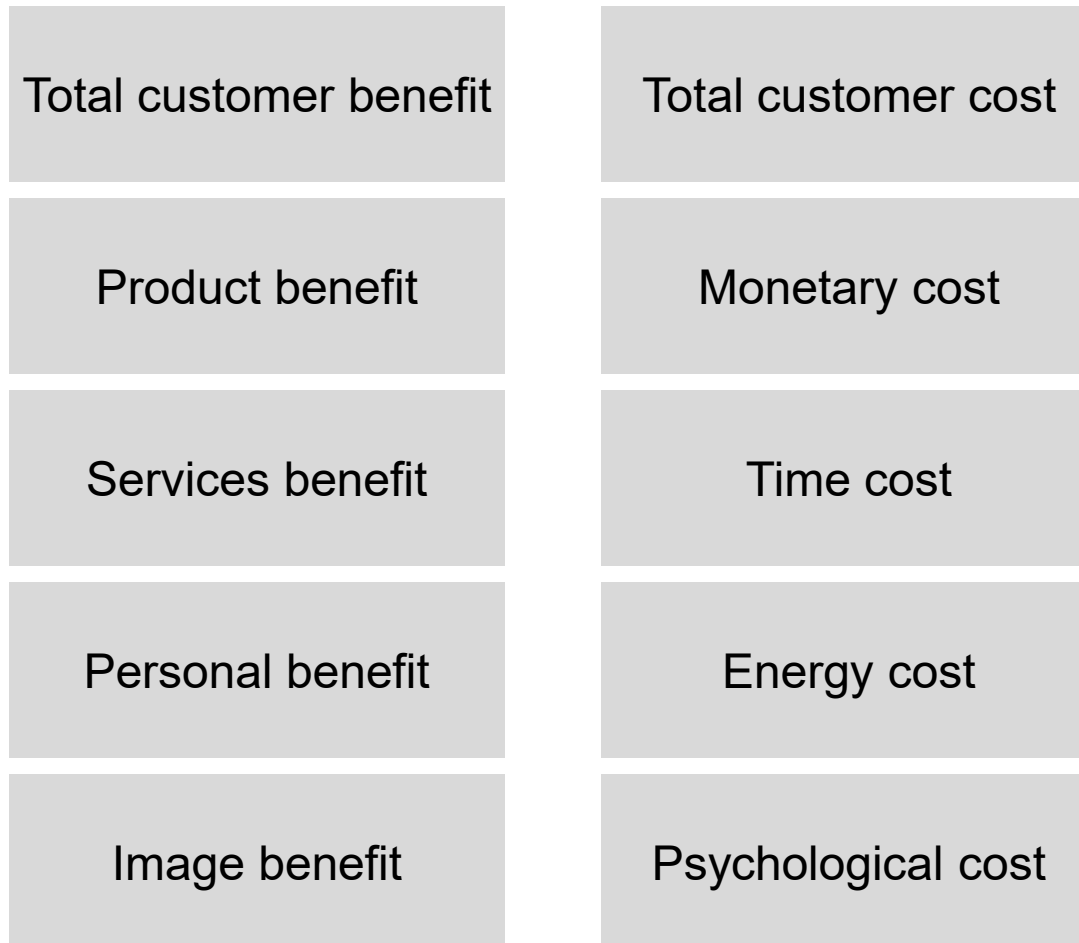




What is Customer Perceived Value?

- **Customer perceived value** is the difference between the prospective customer's evaluation of all the benefits and all the costs of an offering and the perceived alternatives.

Figure 5.2 Determinants of Customer Perceived Value



Caterpillar Maximizes Customer Value





Steps in a Customer Value Analysis

- Identify major attributes and benefits that customers value
- Assess the qualitative importance of different attributes and benefits
- Assess the company's and competitor's performances on the different customer values against rated importance
- Examine ratings of specific segments
- Monitor customer values over time



What is Loyalty?

Loyalty is a deeply held commitment to re-buy or re-patronize a preferred product or service in the future despite situational influences and marketing efforts having the potential to cause switching behavior.



Top Brands in Customer Loyalty

- Apple iPhone
- Clairol
- Samsung
- Mary Kay
- Grey Goose
- Clinique
- Avis
- Wal-Mart
- Google
- Amazon
- Bing
- J.Crew
- AT&T Wireless
- Discover Card
- Verizon Wireless
- Cheerios

Establishing Value



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Measuring Satisfaction

- Periodic surveys
- Customer loss rate
- Mystery shoppers
- Minor competitive performance
- Strength Gaining Potential
- Manage/ Monitor Competitive Position

Managing Customers





What is Quality?

Quality is the totality of features and characteristics of a product or service that bear on its ability to satisfy stated or implied needs.



Maximizing Customer Lifetime Value

Customer Profitability

Customer Equity

Lifetime Value

Figure 5.3 Customer-Product Profitability Analysis

		Customers			
		C ₁	C ₂	C ₃	
Products	P ₁	+	+	+	Highly profitable product
	P ₂	+			Profitable product
	P ₃		-	-	Unprofitable product
	P ₄			-	Highly unprofitable product
		High-profit customer	Mixed-bag customer	Losing customer	

Estimating Lifetime Value

TABLE 5.3 A Hypothetical Example to Illustrate CLV Calculations

	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
Number of Customers	100	90	80	72	60	48	34	23	12	6	2
Revenue per Customer		100	110	120	125	130	135	140	142	143	145
Variable Cost per Customer		70	72	75	76	78	79	80	81	82	83
Margin per Customer		30	38	45	49	52	56	60	61	61	62
Acquisition Cost per Customer	40										
Total Cost or Profit	-4,000	2,700	3,040	3,240	2,940	2,496	1,904	1,380	732	366	124
Present Value	-4,000	2,454.55	2,512.40	2,434.26	2,008.06	1,549.82	1,074.76	708.16	341.48	155.22	47.81



What is Customer Relationship Management?

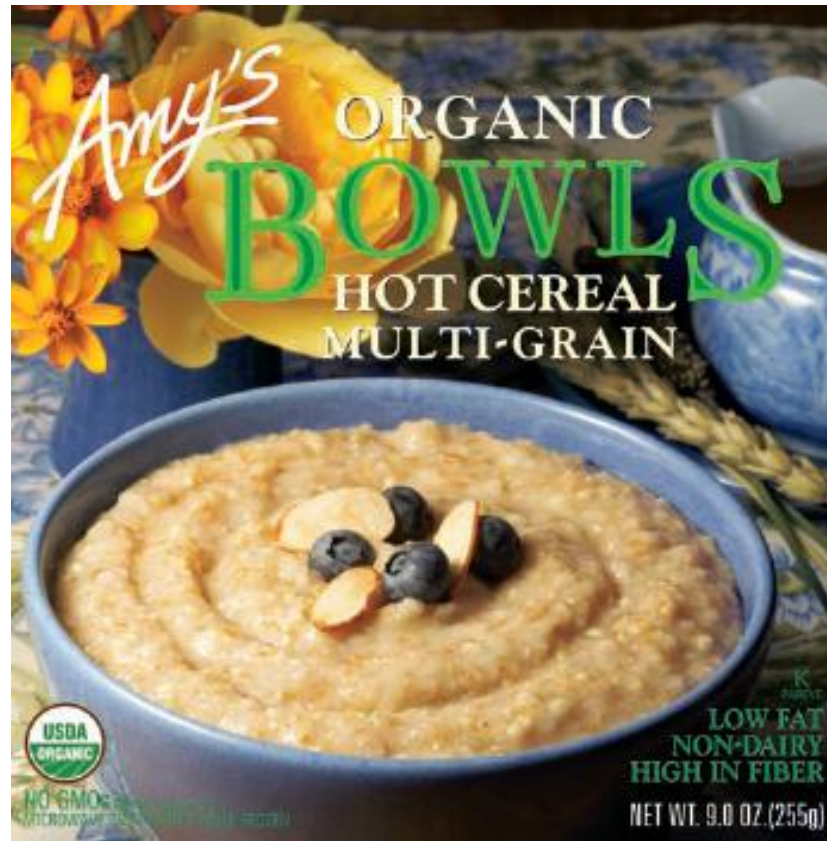
CRM is the process of carefully managing detailed information about individual customers and all customer touch points to maximize customer loyalty.



Framework for CRM

- Identify prospects and customers
- Differentiate customers by needs and value to company
- Interact to improve knowledge
- Customize for each customer

Amy's Maximized Word of Mouth

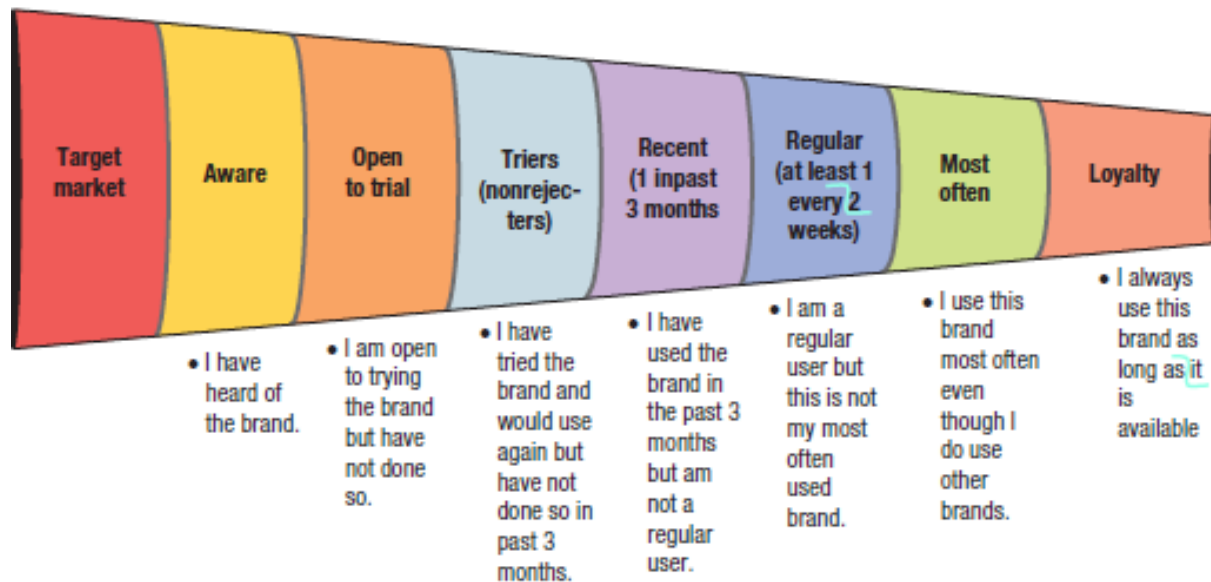




Attracting and Retaining Customers

- Reduce the rate of defection
- Increase longevity
- Enhance share of wallet
- Terminate low-profit customers
- Focus more effort on high-profit customers

Figure 5.4 The Marketing Funnel



Loyalty Programs



Chicken of the Sea

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Database Key Concepts

- Customer database
- Database marketing
- Mailing list
- Business database
- Data warehouse
- Data mining



Using the Database

- To identify prospects
- To target offers
- To deepen loyalty
- To reactivate customers
- To avoid mistakes



Don't Build a Database When

- The product is a once-in-a-lifetime purchase
- Customers do not show loyalty
- The unit sale is very small
- The cost of gathering information is too high



For Review

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